

Tesla, Inc.
TSLA NASDAQ

Hold	\$372.57 ▼ 1.42%	12M Price Target \$410.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.47T
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TSLA: Semi Launches, But EU FSD Delay Stings

WHAT HAPPENED

- Stock dropped ~1.4% on decent volume — the headline culprit is Musk publicly griping about the EU dragging its feet on Full Self-Driving (FSD) approval. That matters because Europe was supposed to be the next big FSD revenue unlock, and every quarter of delay = subscription revenue that doesn't show up in the model.
- Semi truck deliveries finally started — but Tesla gave a production target with NO timeline, which Wall Street reads as "we're not sure when this scales." Classic Tesla: real product, fuzzy math.

WHY IT MATTERS

Here's the tension: the options market is screaming bullish (call buying 2x put buying, with massive unusual call activity at the \$370-372.5 strikes) while the actual news flow is mixed. That tells me traders are positioning for a catalyst — likely the US-China state dinner where Musk had a seat at the table. If Musk walks away with softer China rhetoric or tariff carve-outs for Tesla's Shanghai operations, that's a real tailwind because Tesla builds ~50% of its global vehicles in China. But the EU FSD delay is the bigger structural worry — the bull case on this stock isn't cars, it's autonomy revenue at software-like margins, and every regulatory delay compresses that timeline.

POLICY & POLITICAL WATCH

Three policy vectors are moving right now: (1) The US-China dinner Musk attended suggests the Trump administration is using CEO diplomacy to negotiate — watch for tariff relief on Chinese-made EV components, which would juice Tesla margins. (2) The \$7,500 federal EV tax credit was already gutted earlier in the Trump term, and Tesla has quietly benefited because it hurt smaller competitors more (Tesla has scale, Rivian/Lucid don't). (3) The EU's AI Act and vehicle autonomy rules are the real overhang — if Brussels keeps stalling FSD approval into 2027, analysts will start cutting the "autonomy" portion of Tesla's valuation, which is doing a lot of heavy lifting at a \$1.47T market cap.

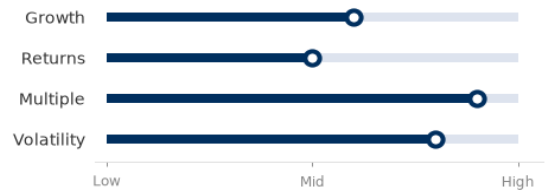
IS IT EXPENSIVE?

At ~\$372, you're paying roughly 130x forward earnings — meaning investors are shelling out \$130 for every \$1 of profit Tesla will make next year. For comparison, Toyota trades around 10x and even Nvidia trades around 35x. That premium only makes sense if you believe robotaxis, Optimus robots, and FSD subscriptions will turn Tesla into a software/AI company, not a car company. Right now the stock is at 37% of its 52-week range — not cheap, not euphoric, kind of stuck in "prove it" territory.

Key Data

Price (USD)	\$372.57
12M Price Target	\$410.00
Upside / (Downside)	+10.0%
Market Cap	\$1.47T
FY2026E Revenue	\$118M
FY2027E Revenue	\$145M
FY2026E EPS	\$2.85
FY2027E EPS	\$4.20
Fwd P/E	130.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$405.00	\$380.00	\$345.00
6 Months	\$460.00	\$400.00	\$320.00
1 Year	\$520.00	\$410.00	\$290.00
2 Years	\$650.00	\$460.00	\$250.00
5 Years	\$900.00	\$550.00	\$220.00
10 Years	\$1400.00	\$700.00	\$180.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+1.1% today, +3.95% over 5 days) — the Trump-Xi tech CEO dinner is being read as de-escalation, and money is flowing back into names with China exposure. Industrials also strong on infrastructure/reshoring narrative.

COOLING OFF: Financials cooling on rate uncertainty; Consumer Staples flat as investors chase growth.

ROTATION WATCH: Money is rotating INTO AI/tech infrastructure and OUT of defensive names — that's normally good for TSLA, but Tesla is underperforming its own sector today, which suggests stock-specific concerns (FSD delay) are outweighing the tailwind.

RELATED PLAY: If you like the China-thaw thesis but don't want single-stock risk, semiconductor equipment names (AMAT, LRCX) benefit from any easing of export restrictions. Also watch charging infrastructure plays.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Riding the AI infrastructure wave and got the friendliest China signals from the dinner
- GOOGL (Alphabet): Waymo continues to lap Tesla in actual deployed robotaxi miles, which is starting to matter to investors

TSLA CONTEXT: Tesla is LAGGING its tech peers today despite Musk getting a coveted head-table seat at the state dinner. That's a yellow flag — when a stock can't rally on good news, it usually means positioning is already crowded long and the market wants a bigger catalyst than dinner photos.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term AI optionality but the valuation gives me no margin for error, and near-term catalysts are mixed.

POSITION SIZE: 2-4% of portfolio — this stock can move 5% on a tweet, so size it where a bad week doesn't ruin your month.

ENTRY POINTS: I'd wait for pullbacks to \$340-355, which is where the stock has found support recently. Chasing at \$372 into an FSD delay headline feels sloppy.

TIME HORIZON: 12-24 months — the real catalyst is FSD regulatory clarity in EU/China plus a credible robotaxi revenue number. That's a 2027 story.

WHEN TO BAIL: If auto gross margin drops below 15%, or if EU FSD approval gets pushed past mid-2027, or if Musk cluster-sells insider shares (right now it's just the CFO trimming, which is normal).

HEDGING: Buy some protective puts before earnings — think of it as insurance on your house. Costs a little, saves you a lot if things go wrong. Or pair the long with a short in a legacy automaker to isolate the "Tesla is different" thesis.